

**JUSTIFICATION AND APPROVAL
FOR OTHER THAN FULL AND OPEN COMPETITION
SPRDL1-24-R-0147**

1. Contracting Agency: The Contracting Activity for this action is the Defense Logistics Agency – Land Warren (DLA Land Warren).

2. Description of Action: DLA Land Warren proposes to award a New Firm-Fixed-Price contract to Oshkosh Defense, LLC., Commercial and Government Entity (CAGE) 75Q65, or an offeror providing the product of the approved source for National Stock Number (NSN) 2590-01-241-9152, Hydraulic Manifold, using Army Working Capital Funds.

3. Description of Supplies/Services: The NSN 2590-01-241-9152 , part number 4027201 (CAGE 75Q65), Hydraulic Manifold is used on the Heavy Expanded Mobility Tactical Truck (HEMTT) vehicle system. The Hydraulic Manifold regulates fluid flow between the pumps and actuators and other components in a hydraulic system on the HEMTT. The deliverable for this proposed Five-Year Indefinite Delivery/Indefinite Quantity (IDIQ) long term contract (LTC) is for a guaranteed minimum quantity of nine each and a maximum quantity of 225 each. The total estimated maximum value of this contract is \$ [REDACTED]

Acquisition Method Code (AMC): 3 - Acquire, for the second or subsequent time, directly from the actual manufacturer.

Acquisition Method Suffix Code (AMSC): R – The Government does not own the data or the rights to the data needed to purchase this part from additional sources. It has been determined to be uneconomical to buy the data or rights to the data. It is uneconomical to reverse engineer the part. This code is used when the Government did not initially purchase the data and/or rights. If only one source has the rights or data to manufacture this item, AMCs 3, 4, or 5 are valid. If two or more sources have the rights or data to manufacture this item, AMCs 1 or 2 are valid.

4. Authority Cited: The statutory authority permitting other than full and open competition for this effort is 10 United States Code (U.S.C.) 3204(a)(1) as implemented by FAR 6.302-1(a)(2)(ii)(A) Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements.

5. Reason for Authority Cited: The Hydraulic Manifold is a device that allows the operator of the HEMTT to choose which hydraulic component to activate in the HEMTT. Pressure from the vehicle's hydraulic compressor moves through hoses to the hydraulic manifold. The Hydraulic Manifold allows the operator to control where the pressure is diverted, and therefore, which component of the hydraulics on the HEMTT are utilized. Without the Hydraulic Manifold to direct the hydraulic pressure, the HEMTT hydraulics

could not be used.

The HEMTT platform was designed and tested by Oshkosh, who owns the intellectual property for the truck. Oshkosh developed the system level requirements for the hydraulics in the HEMTT and owns all the technical data for the Hydraulic Manifold. Oshkosh then sourced the manufacturing of the manifold to Eaton Hydraulics (now Danfoss), however Danfoss only sells the part to Oshkosh. Therefore, this is only available for procurement from Oshkosh Defense.

Oshkosh (working with Danfoss as the manufacturer) is the only vendor who possesses the technical data and expertise to manufacture this Hydraulic Manifold. Danfoss has manufactured hydraulic manifolds for Oshkosh that have met all system level requirements and have successfully operated in the field. If the Government were to purchase hydraulic manifolds that have not undergone proper verification, [REDACTED] Without this proper verification, it is likely that the hydraulic manifold would not fit or function properly, which could result in failure of the HEMTT hydraulics, [REDACTED]

As the Government does not own any of the technical data, the Government would have to reverse engineer the Hydraulic Manifold to determine all aspects of the Hydraulic manifold. A reverse engineering effort would include work to clarify and define a hydraulic manifold with the same fit, form, and function as the original. Design requirements should be broken down and clarified without any ambiguity. Technical information such as understanding the parameters would include flow rate through the manifold, number of outlets, number and types of valves on the manifold, housing dimensions, and mounting dimensions. Reliability, Availability, and Maintainability (RAM) testing would have to be completed. Testing would include accelerated life testing, cold and hot environments, salt spray, and maximum load operation testing. [REDACTED]

[REDACTED] Following qualification, the Technical Data Package (TDP) would have to be built so the part could be competitively sourced, and an additional source would have to be found.

The Ground Vehicle Systems Center (GVSC) Heavy Tactical Vehicle Sustainment Engineering Team has used historical data from past reverse engineering efforts of a hydraulic manifold to estimate that reverse engineering the HEMTT Hydraulic Manifold would cost an estimated minimum of \$1.5M for:

- Research and Development (R&D), including part design, development, and prototype;
- RAM testing, design validation and vehicle integration testing; and
- TDP development in order to procure competitively.

A detailed breakdown of the cost impact is shown below.

Action	Cost
Part R&D	\$800,000
Engineering Verification Testing and Analysis	\$500,000
Develop TDP	\$200,000
Total Development Time	\$1,500,000

The Government would not be able to recover, through subsequent competition, the duplication of costs involved in either procuring the proprietary data or reverse engineering the item to create a competitive build to print TDP within a reasonable time frame. At the current average usage rate of [REDACTED] units each year, a current unit cost of \$[REDACTED] and assuming 25% savings achieved through competition, the \$[REDACTED] in annual savings would take about [REDACTED] to offset the estimated \$1.5M cost of reverse engineering the item and qualifying another source.

6. Efforts to Obtain Competition:

- a. Effective competition: Due to the reasons cited in Section 5 above, the Government is not pursuing competition for this item. Notices required by FAR 5.201 will be posted.
- b. Subcontracting competition: Unless the contract is awarded to a small business, the solicitation and resulting contract will include FAR clauses 52.219-8, "Utilization of Small Business Concerns"; 52.244-5, "Competition in Subcontracting"; 52.219-16, "Liquidated Damages--Subcontracting Plan"; and Defense Federal Acquisition Regulation Supplement (DFARS) 252.219-7003, "Small Business Subcontracting Plan (DoD Contracts)," to maximize small business opportunities and utilization.

7. Actions to Increase Competition: There are no known funding efforts in progress at this time to develop the competitive technical data required to make the Hydraulic Manifold fully competitive. No contractors are in the process of being qualified at this time, nor will be prior to the contract award due to time and funding constraints.

8. Market Research: A Sources Sought Notice was posted to SAM.gov on 28 June 2024, was open for 15 days and closed on 12 July 2024. One response was received, with assessment of the response shown below:

One response was received from the vendor BHPE, LLC. They expressed written interest in offering assistance to identify solutions to address this requirement. They did

not mention their ability to submit a proposal or their willingness to speak with the Competition Management Office to look into becoming an approved source.

The GVSC Tactical Vehicle Sustainment Engineer performed the following internet searches on 13 May 2024 to find suitable competition for the Oshkosh Hydraulic Manifold.

Keywords: hydraulic manifold, heavy duty hydraulic manifold, crane truck hydraulic manifold

Websites: <https://www.relatedfluidpower.com/products/hydraulic-manifold-systems/standard-hydraulic-manifold-assemblies/>
https://continentalhydraulics.com/product_items/manifolds/
<https://gsglobalresources.com/engineered-solution/boom-manifold-for-crane/>

Findings: When searching for alternatives, the engineer came across Related Fluid Power, Continental Hydraulics, and GS Global Resources which offer industry solutions for hydraulic manifolds. However, the government does not have any technical information for the Oshkosh hydraulic manifold because the data is proprietary, so further research could not be completed. Although several manufacturers make products that appear to be similar to the hydraulic manifold used on the HEMTT, the lack of a TDP or detailed drawings for the hydraulic manifold prohibit the engineer from knowing the exact specifications that must be met by a potential alternative. A wide range of geometries, numbers of inlets, valve types, and hydraulic connections are available across the brands reviewed. However, the Government does not have access to any of these characteristics for the provisioned hydraulic manifold, so a direct comparison is not possible. The current hydraulic manifold was designed by the Original Equipment Manufacturer specifically to fit onto this vehicle, and integration/verification testing was conducted for this reason. Any other alternative would require integration and extensive testing [REDACTED]

[REDACTED] Therefore, it can be concluded that this hydraulic manifold is custom for the application and should be identified as a sole-source item.

9. Interested Sources: One response from a vendor was received in response to the Sources Sought Notice posted on SAM.gov. BHPE, LLC. should not be considered a viable source of supply for this part. They have not displayed any interest in proving they can manufacture any manifold to the standards of the Danfoss manifold. Additionally, without an extensive reverse engineering effort, there would be no way of proving their potential solution would be suitable to the application. See the Market Research in Section 8 for the vendor inquiry details.

10. Other Facts: Procurement History:

(1) Procurement History

Contract Number: SPRDL1-20-D-0023
Award Date: 08 November 2019
Contractor: Oshkosh Defense, LLC.
Contract Value: \$750,972.85 (5-Year LTC period)
Competitive Status: FAR 6.302-1, Only One Responsible Source

Contract Number: SPRDL1-19-P-0196
Award Date: 01 May 2019
Contractor: Oshkosh Defense, LLC.
Contract Value: \$129,947.70 (base and option value)
Competitive Status: FAR 6.302-1, Only One Responsible Source

(2) The above buys were solicited and awarded under Other Than Full and Open Competition.

11. Technical Certification: I certify that the supporting data under my cognizance which is included in the justification is accurate and complete to the best of my knowledge and belief.

Name: [REDACTED]
Title: Sustainment Engineering Division Chief
Signature:

9/10/2024

X [REDACTED]

Signed by: USA

12. Requirement Certification: I certify that the supporting data under my cognizance which is included in the justification is accurate and complete to the best of my knowledge and belief.

Name: [REDACTED]
Title: Sourcing Division Chief
Signature:

9/11/2024

X [REDACTED]

Signed by: [REDACTED]

13. Fair and Reasonable Cost Determination: I hereby determine that the anticipated cost to the Government for this contract action will be fair and reasonable. This determination will be based on the results of a detailed cost and/or price analysis. The contractor will not be required to submit certified cost or pricing data as this item

has been determined to be a commercial product.

Name: Timothy A. Nichols
Title: Contracting Officer, ZGBC
Signature:

9/11/2024
 Timothy A. Nichols
Signed by: NICHOLS.TIMOTHY.A. [REDACTED]

14. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.

Name: Timothy A. Nichols
Title: Contracting Officer, ZGBC
Signature:

9/11/2024
 Timothy A. Nichols
Signed by: NICHOLS.TIMOTHY.A. [REDACTED]

**APPROVAL OF JUSTIFICATION
FOR OTHER THAN FULL AND OPEN COMPETITION**

**Approval Authority for Acquisitions Greater Than \$750,000
but Less Than \$15M**

Based on the foregoing Justification, I hereby approve the procurement of the following:

- a. Noun: Hydraulic Manifold
- b. NSN: 2590-01-241-9152
- c. Minimum Quantity: nine each guaranteed
- d. Maximum Quantity: 225 each
- e. Purchase Request Order Number: EH4L0130EH
- f. Type of Contract: Five-Year IDIQ LTC, Firm-Fixed-Price
- g. Total Estimated Value: \$ [REDACTED]

This action will be awarded under other than full and open competition pursuant to the authority of 10 U.S.C. 3204(a)(1) and subject to the availability of funds. This approval is subject to the provision that the property herein described has otherwise been authorized for acquisition.

Signature:

WIEBUSCH.JA
X MIE [REDACTED]
Digitally signed by
WIEBUSCH.JAMIE [REDACTED]
Date: 2024.09.18 08:24:46
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Competition Advocate